

- Q.21 Distinguish between cash basis and accrual basis of accounting.
 Q.22 What is meant by rectification of errors?
 Q.23 What are the main objectives of accounting?
 Q.24 Explain the term "Gross Profit" and how it is calculated.
 Q.25 Distinguish between error of omission and error of principle.
 Q.26 Explain the concept of "Going Concern" with an example.
 Q.27 What is depreciation? Why is it charged?
 Q.28 List any three objectives of preparing a trial balance.
 Q.29 What are subsidiary books? Name any four and their uses.
 Q.30 What do you mean by inventory valuation? Name any two methods.
 Q.31 What is the double entry system of accounting? State any two merits.
 Q.32 State any two reasons for differences between cash book and pass book balances.
 Q.33 Define a non-Profit organization with two examples.

SECTION-D

- Note:** Long answer type questions. Attempt any three questions out of four questions. (3x8=24)
 Q.34 Discuss the role of accounting in decision making for different users. Explain how accounting information is helpful to both internal and external users with suitable examples.
 Q.35 What are the various methods of providing depreciation? Explain any two methods in detail with suitable numerical examples and journal entries.
 Q.36 Explain the format and preparation of income and Expenditure Account along with the Balance Sheet of a non-profit organization. Use imaginary figures to demonstrate the format and adjustment of subscription, donations, and outstanding expenses.
 Q.37 Describe the classification of accounts and explain the rules of debit and credit for each type. Illustrate your answer with relevant examples and journal entries.

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Roll No.

1st Year / FAA Subject : Financial Accounting

Time : 3 Hrs.

M.M. : 90

SECTION-A

Note: Multiple choice questions. All questions are compulsory (9x1=9)

- Q.1 Which of the following is an internal user of accounting information?
 a) Creditors b) Shareholders
 c) Government d) Management
 Q.2 Which concept states that business and owner are separate entities?
 a) Going concern b) Business entity
 c) Matching d) Dual aspect
 Q.3 Which of the following is the correct accounting equation?
 a) Assets = Liabilities + Income
 b) Assets = Liabilities + Capital
 c) Assets = Capital – Liabilities
 d) Assets = Expenses + Liabilities
 Q.4 Which of the following is not an objective of preparing a trial balance?
 a) To check arithmetical accuracy
 b) To prepare financial statements
 c) To record all journal entries
 d) To locate errors

- Q.5 Which method results in equal depreciation every year?
- Reducing balance method
 - Annuity – method
 - Straight-line method
 - Sinking fund method.
- Q.6 Which of the following is an error that affects the trial balance?
- Error of omission
 - Error of principle
 - Error of commission
 - Error in totaling
- Q.7 Trading account is prepared to calculate:
- New profit
 - Gross profits
 - Operating profit
 - Retained earnings
- Q.8 Receipt and Payment Account is similar to :
- Trading Account
 - Profit & Loss Account
 - Cash Book
 - Balance Sheet
- Q.9 Bank Reconciliation Statement is prepared to reconcile?
- Trial balance and ledger
 - Cash book and petty cash book
 - Pass book and cash book balances.
 - Balance sheet and profit & loss account

SECTION-B

Note: Objective/ Completion type questions. All questions are compulsory. (9x1=9)

- Q.10 _____ users include investors, creditors and government agencies.
- Internal
 - Indirect
 - Direct
 - External
- Q.11 Under _____ basis of accounting, transactions are recorded only when cash is received or paid.
- Accrual
 - Hybrid
 - Credit
 - Cash

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- Q.12 In accounting the rule for minimal accounts is “Debit all expenses and losses,_____.”
- Credit all assets
 - Credit all profits and incomes
 - Debit all liabilities
 - Credit all purchases
- Q.13 A trial balance is usually prepared at the end of an _____.
- Accounting year
 - Audit
 - Invoice
 - Contract
- Q.14 Depreciation reduces the _____ of fixed assets over time.
- Market value
 - Book Value
 - Retail Price
 - Scrap Value
- Q.15 If a transaction is completely not recorded, it is called an error of _____.
- Commission
 - Omission
 - Principle
 - Posting
- Q.16 Salaries and Wages are shown on the _____ side of the profit and loss account.
- Credit
 - Left
 - Liability
 - Debit
- Q.17 Non-Profit organizations prepare _____ instead to a profit and loss account.
- Receipts and Payments Account
 - Income & Expenditure Account
 - Journal
 - Balance Sheet only
- Q.18 A cheque issued but not presented will appear only in the _____.
- Pass Book
 - Cash Book
 - Journal
 - Ledger

SECTION-C

Note: Short answer type questions. Attempt any twelve questions out of fifteen questions. (12x4=48)

- Q.19 Write short notes on any four basic accounting terms.
- Q.20 What is the difference between income & Expenditure Account and Receipt & Payment Account?

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